made the events in Central America worth worrying about: Almost half of U.S. exports and imports, including close to half of our essential petroleum imports, traveled through this region. Two out of three ships transiting the Panama Canal carried goods to or from the U.S. Central America was not only a source of imports, but a customer for our products. There was the security of our borders to think about, and the question of our economy's ability to absorb an endless flow of refugees: If Communism prevailed in Latin America, it would end any hope of achieving the social and economic progress needed to bring prosperity to the region; and this would accelerate the flow of illegal immigrants who, propelled by poverty, were already overwhelming welfare agencies and schools in some parts of our nation. There was another reason for us to have concern: Under Castro, Cuba had become not only a satellite of Moscow but a potential jumping off spot for terrorists directed by his cohort and fellow Soviet client, Colonel Qaddafi.

If the Soviet Union and its allies were allowed to continue subverting democracy with terrorism and fomenting so-called "wars of national liberation" in Central America, it wouldn't stop there: It would spread into the continent of South America and north to Mexico. Then, as I was told that Lenin once said: "Once we have Latin America, we won't have to take the United States, the last bastion of capitalism, because it will fall into our outstretched hands like overripe fruit. . ."

During my first few months in the White House, as I've mentioned, our intelligence experts obtained conclusive proof that the Sandinistas were receiving an ever-increasing flow of Soviet and Cuban money and arms, and were in turn supporting guerrillas in El Salvador as well as infiltrating Honduras, Guatemala, and Costa Rica. In late 1981, I authorized Bill Casey to undertake a program of covert